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ZOOM IN TRADE

SHINHAN Customs Service Inc.

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The Foolish choice, the Narrow path

Grace Chang

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"

Even if the path seems narrow and uncomfortable, we need the resolve to walk the righteous way.

"

In the founding myth of our nation's ancestor, Dangun, a bear and a tiger appear. They, who wanted to become humans, went to Hwanung and begged. Hwanung said, "In a cave where no sunlight reaches, spend a hundred days only eating a handful of mugwort and twenty cloves of garlic."
The tiger only endured just a few days. The tiger thought, "Why should I go through such suffering just to become human?", and finally gave up. But the bear silently endured and persevered, fulfilling the appointed day and finally transformed into a woman. She was Ungnyeo, and the mother of Dangun Wanggeom.

Ungnyeo's choice was not merely the miracle of becoming human. It symbolized *the wisdom of foolishness*—the perseverance to walk the difficult path to the end. Her patience and gentleness became the spiritual roots of our nation's endurance, harmony, and perseverance that continue to this day.

*Ideal and Reality for this month is **'Proposing U.S.–Korea Tariff Negotiations from the Perspective of U.S. National Interests'**, Analysis on Recent Customs Judicial Precedent covers **'The request for a disposition to impose customs duties, etc. based on the disputed invoice containing the actual transaction price, as if the claimant had imported the items at issue***

and declared the price on the invoice containing the arbitrary price as the taxable price of the items at issue.'*, and HS case solved by logic reports* ***'I Item Classification Example for Projector Lamps',*** *Global Customs Insight is* ***'CBAM·PPWR: A New Trade Order Created by the Environment'*** *and FTA and import/export practical business guide is* ***'Information on trade statistics codes and new codes required for export and import declarations',*** *Contents and Opinion of Customs Trade amendment Covers* ***'Administrative Notice of the Revision(Draft) to the "Notice on the Evaluation and Operation of the Integrated Compliance Score"'***

Life is a Series of Choices

Every moment of life is a choice. Do I turn off my alarm and sleep more in the morning, or do I get up and put on my running shoes? Even in such small decisions, we each stick to our principles and goals, and walk different paths. But choosing to stick to your principles isn't always easy. It is because the path that offers immediate convenience, efficiency, and immediate rewards appears more attractive.

Two years ago, there was an accident where the ceiling of an underground parking lot collapsed at an apartment construction site. The design drawings showed the rebars to be planted at 13cm intervals, but the 'experienced' person on site reduced the number of rebars to save cost and set the spacing to 15cm. "It worked fine before…" That small act of self-deception led to a major disaster in the end. The small conveniences of the first stage turned into irreversible tragedies over time.

The Tiger's Freedom, the Bear's patience

At the crossroads, the bear endured to the point of seeming foolish, while the tiger chose freedom. Although the tiger never became human, it was feared and admired for its great strength and majesty. In Korean folk paintings, the tiger's large glaring eyes and sharp teeth display its power, yet its comical panic before a magpie satirizes "a powerful but foolish ruler" Our ancestors showed wisdom, humor and a wariness of power in that satire.

A Strong Nation Losing Its Principles: America

The United States has established itself as a world leader since World War II. They have taken on the role of guardian of a just and sustainable world order based on the founding principles of freedom, the rule of law, equality, human rights, national sovereignty, and separation of powers.

But recently, those principles haves wavered.

Politics that is driven by nationalism, information distortion, a breakdown in moral trust, division and hatred is rampant. "Strong but unjust choices" are shaking America's global standing. Instead of seeking trust and cooperation from allies, it now calculates only “cost,” undermining its dignity and balance as a leading nation.

And Us?

Then what path are we taking? In our roots lies the spirit of the bear — patience and harmony. Liberal democracy, equality, national sovereignty, welfare and the common good—all of these founding principles must still be our compass.

Korea's global status has risen. K-pop and the Korean Wave made Korea into a ‘cultural trendssetter’ and our technology and creativity have positioned Korea as a “nation of innovation.” Yet domestically, political division and verbal violence have become commonplace. Leaders’ words exhaust the people, and harsh language and behavior spread unchecked through social media. In such times we must revive the spirit of endurance, patience, and harmony within us.

The courage to choose the narrow path

At every turning point in life, we must choose. A small deviation at the beginning can lead to great distortion later. Minor abuses of power and petty arrogance can dismantle systems, and personal desires can shake communities. Therefore, we must choose based on principles, not circumstances. Even if the path seems narrow and uncomfortable, we need the resolve to walk the righteous way.

Jesus said,

"If your right hand causes you to stumble, cut it off and throw it away." (Matthew 5:30)

Freedom is not doing whatever you want—it is the ability to do what is right.

To the proud Koreans who choose the right path and live in true freedom—

Thank you.

Ideal and Reality

Proposing U.S.–Korea Tariff Negotiations from the Perspective of U.S. National Interests

-The key to second-order thinking on tariff negotiations lies in the revival of American manufacturing.-

Negotiations on tariffs between the U.S. and Korea continue to face difficulties. As the APEC summit approaches, the entire nation is watching closely to see whether the two countries can reach a smooth agreement. The United States' goal is not simply to increase tariff revenues but to bring manufacturing back home — a policy of *reshoring*. The essence of the issue is not the tariff rates themselves, but rather who builds factories and creates jobs within the United States.

Therefore, instead of focusing narrowly on the figure of $350 billion, we need a second-order approach that considers how Korea can contribute to and fit within the broader U.S. industrial strategy.

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Europe, Japan, and South Korea have promised investments worth hundreds of billions of dollars under the condition of being subject to a 15% tariff rate, and difficult negotiations are continuing over the scale and methods of those investments. In the case of South Korea, it is known to have promised an investment of about 350 billion dollars, which everyone knows is a level difficult to bear given Korea's economic size and fiscal capacity.

Investment basically takes place when there is an expectation of recovering more than the amount invested. However, the United States' demand appears to be, "Invest first, and after you recover your principal, most of the profits will go to the United States." It is hard to believe that such an idea would come from the U.S. government, which is called the birthplace of the free market economy and capitalism. It feels like a dream.

If Korea cannot even recover the principal investment, the Korean economy will fall into a deep recession that will be difficult to recover from for several years. The problem is that Korea does not have such economic capacity. It is a country without resources such as rare earths or oil, and only people are its assets.

Therefore, in order to respond to the Trump administration's investment demands linked to country-specific tariff rates, Korea must present mutually realistic and sustainable alternatives rather than negotiations solely for the benefit of the United States. Now it is necessary to calmly examine ways to negotiate tariff policy from the perspective of **U.S.** national interest.

1. Revival of U.S. Manufacturing

We have long understood the United States as the "conductor of the world economy." However, the current United States is becoming a country that not only wants to conduct but also wants to directly play the violin, cello, brass, woodwind, and percussion instruments. In other words, it aims to revive manufacturing in almost all industrial sectors such as semiconductors, automobiles, secondary batteries, and pharmaceuticals.

To achieve this, it is not enough to simply build factories. A stable supply of workers, raw materials, and components is essential. Rather than worrying that Korean technicians might take jobs away, it would be worth proposing a system in which U.S. manufacturing personnel are dispatched or employed at Korean manufacturing sites for a certain period (2–3 years) to learn production, equipment, design, and operational know-how.

Since Korean manufacturing companies already possess world-class production systems, if American technicians gain on-site experience in Korea, Korean companies investing in the United States will be able to reach the break-even point immediately upon the start of operations. It will be a successful investment.

The fact that Taiwan's TSMC is experiencing operational difficulties at its Arizona plant due to a shortage of skilled workers shows that the United States was not sufficiently prepared for manpower training. A practical solution to such a problem is human resource exchange. If English-speaking Americans come to Korea's regional areas, Koreans' English proficiency will improve and local economies will also be revitalized. As President Trump says, it would be good for both sides.

2. A Strategy of Parallel Production of Intermediate and Finished Goods

Let us take the automobile industry as an example. The production of a single finished car involves cooperation among thousands of parts suppliers. Significant tariffs are also imposed on these parts. As a result, even automobile companies operating within the United States find it difficult to maintain sufficient domestic production.

In order to induce domestic production of key components such as steering systems, internal combustion engines, and secondary batteries, it is necessary to consider a plan to gradually reduce tariffs only for companies that both export and produce within the United States. This approach would promote investment in the U.S. while maintaining production competitiveness.

If high tariffs continue to be imposed not only on finished products but also on raw materials and parts, companies operating manufacturing plants in the United States will face the dual burden of high wages and production costs. Even if they can endure until 2025, production reduction or suspension will be inevitable in 2026. No company can withstand continuous operating losses. If business continuity is damaged, factories invested in the United States will soon withdraw due to accumulated deficits.

3. It Is Desirable to Lower Tariffs on Products from Developing Countries and Daily Consumer Goods

The focus of tariff policy should not be on all intermediate goods, but rather on key industries.

In industries with low added value or low wages, lowering tariffs on raw materials or parts would actually be more advantageous for the U.S. economy.

For example, in the clothing industry, countries like South Korea handle design and planning, while actual production takes place in developing countries such as those in Southeast Asia or Latin America. Such industries cannot achieve large-scale production within the United States. Therefore, it is desirable to ease tariffs on daily necessities such as clothing. Since essential goods are items that all citizens use every day, the imposition of tariffs is immediately reflected in the cost of living.

If the burden on low-income, working-class, and middle-class people increases, social difficulties could intensify even faster than the revival of manufacturing.

Therefore, starting in 2026, it will be necessary to actively consider reducing tariff rates on daily necessities directly related to people's livelihoods. This would also be in line with President Trump's pragmatic policy orientation.

4. Even If Tariff Revenue Increases, the Fiscal Deficit Will Not Decrease

When tariffs are imposed on imported goods, the federal government's tax revenue increases. However, the government is also a major consumer in the economy. As prices rise, the unit costs of various goods and services purchased by the government also increase, leading to higher budget expenditures. As a result, even if tariff revenue increases, the fiscal deficit does not decrease if government spending grows even more.

In fact, despite high tariff revenue in 2025, the U.S. fiscal deficit did not decrease. A reanalysis is needed to determine whether federal government expenditures are offsetting the tariff revenue.

5. A Trade Deficit Does Not Necessarily Mean a Loss

Under the WTO system, the United States has so far maintained low tariff rates, resulting in a large volume of imports and trade deficits. However, this does not necessarily mean a loss.

The United States has sustained its economy by efficiently procuring the goods it needs.

Households also spend their salaries on living expenses, but they do not regard this simply as a "deficit." Likewise, the U.S. trade deficit is the result of purchasing necessary goods, and therefore it is not a loss.

While tariff and exchange rate policies can put pressure on exporting countries, the fact that the U.S. tariff rate is 0% does not mean that the U.S. government or its people suffer losses. On the contrary, the United States has maintained its position as the world's leading nation through the benefits of free trade.

Continuing to reduce tariff burdens in the future will contribute to America's sustained prosperity.

6. Adjustment Is Needed for High Tariffs on the Steel and Aluminum Industries

Steel and aluminum are classified as key industries for national security, and currently, high tariffs of up to 50% are being imposed. In the short term, this may increase the profits of U.S. steel companies and expand employment. However, rising raw material prices and reduced imports raise production costs across related industries such as railways, construction, electricity, roads, shipbuilding, and home appliances, eventually leading to an overall contraction of the industry.

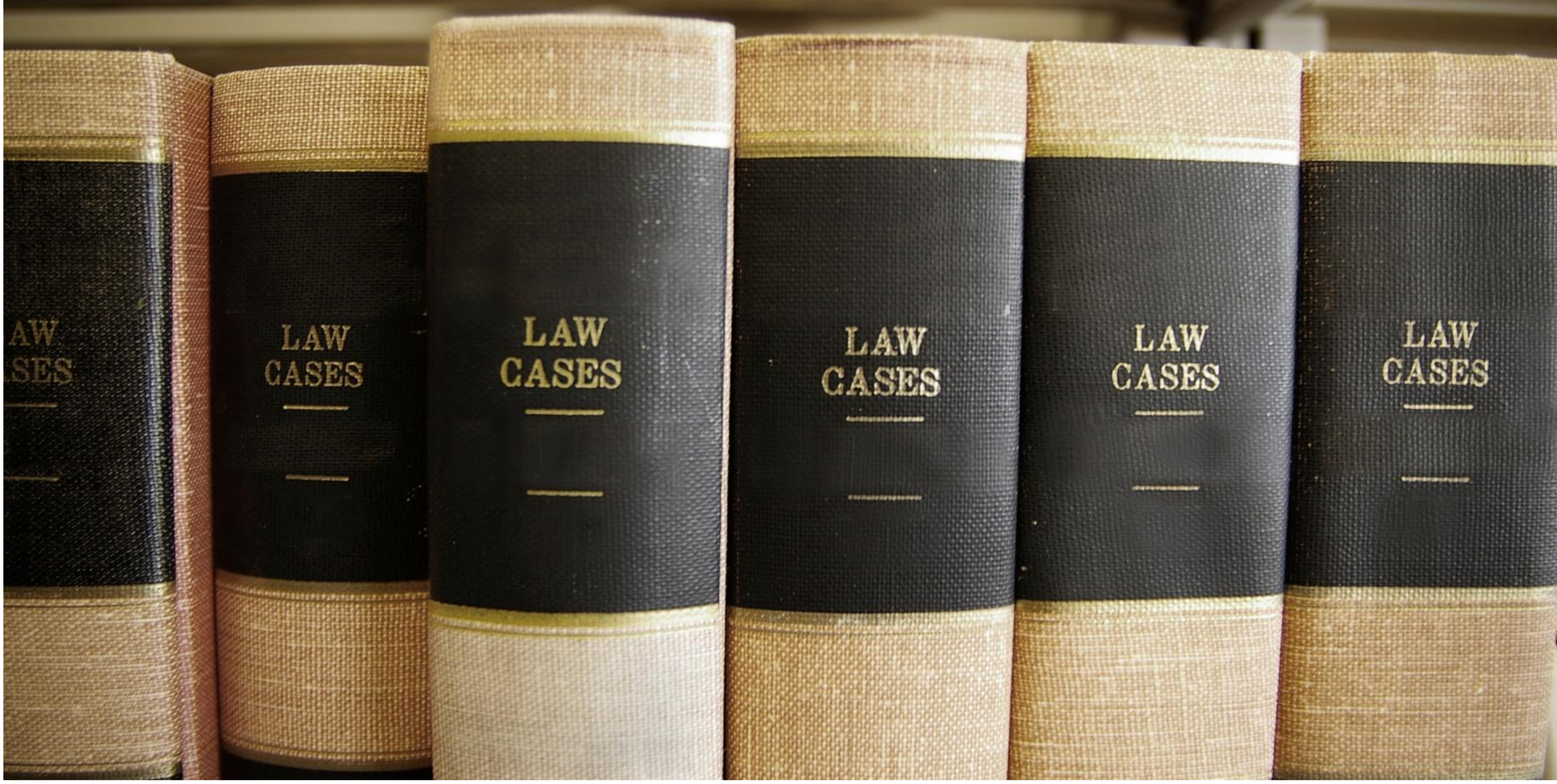
At present, U.S. steel companies are sufficiently protected by tariffs, so the risk of industrial collapse related to national security is considered low. Therefore, gradually lowering the tariff rates on steel and aluminum will help promote balanced development of the U.S. economy.

7. Conclusion

President Trump's 2025 tariff policy can be evaluated as successful in the short term, as it attracted foreign investment into the United States, lowered other countries' tariff rates on American products, and eased trade restrictions.

However, the U.S. tariff policy cannot exist solely for the benefit of the United States. It must take into account both the circumstances of exporting countries and the livelihoods of the American people. Tariff policies should be adjusted in ways that are mutually beneficial.

It is expected that in 2026, policy adjustments and balance reflecting these considerations will be achieved. It is hoped that U.S. tariff policy will go beyond protectionism and realize a genuine "America First" within the balance of a sustainable global economy.



Analysis on Recent Customs Judicial Precedent

The request for a disposition to impose customs duties, etc. based on the disputed invoice containing the actual transaction price, as if the claimant had imported the items at issue and declared the price on the invoice containing the arbitrary price as the taxable price of the items at issue.

1. Disposal Overview

A. The plaintiff, while operating an e-commerce company called AAA, imported pet reptiles (hereinafter referred to as "items at issue") from exporters at issue located in Hong Kong and Indonesia from February 24, 2017 to December 22, 2022.

B. In this process, the claimant submitted an invoice (hereinafter referred to as the "original invoice") with an arbitrary price written on it to customs and declared imports at a low value, and customs accepted it.

C. Afterwards, the disposal agency secured the invoice containing the actual transaction price (hereinafter referred to as the " invoice at issue") through a search and seizure, and notified the claimant of the difference in customs duties, value-added tax, and surcharge of OO won corresponding to the price difference between the invoice at issue and the original invoice.

D. The plaintiff was dissatisfied with this and filed a request for trial on November 28, 2022.

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2. Customs issues and related laws

A. Issues

Whether a low price was reported and whether the taxable price is appropriate

B. Relevant laws and regulations

Article 16 (Timing of determination of taxable items) Customs duties are imposed based on the nature and quantity of goods at the time of import declaration (including import declaration prior to entry; hereinafter the same shall apply in this Article).

Article 30 of the Customs Act (Principles for Determining Taxable Value) The taxable price of imported goods shall be the transaction price adjusted by adding the following amounts of each heading to the price actually paid or payable by the purchaser for goods sold for export to Korea.

Article 270 of the Customs Act (Customs Evasion, etc.) If a person imports goods by falsely reporting or failing to report the taxable price or tariff rate in order to influence the tax determination, he/she shall be punished by imprisonment for not more than three years or a fine equivalent to the higher amount of five times the amount of evaded customs duty or the cost of the goods.

3. Facts and judgment

A. Summary of facts

1) Use of double/false invoices

The claimant used both an "invoice at issue" containing the actual value and an "original invoice" for low-value reporting. The same air waybill number and identification number were used, but the low-value invoice, labeled "dummy," was used for customs submission.

In addition to the purpose of low-price declaration, the government also instructed that the species in the disputed shipment register be deleted and a new shipment register be created arbitrarily in order to smuggle species protected by CITES (Convention on International Trade in Endangered Species of Wild Fauna and Flora), which require an import permit.

From 2017 to 2021, the claimant's actual remittance amount was greater than the income declared.
2) Evidence
It was confirmed that staff were instructed to submit low-cost invoices through mobile phone messages or to delete breeds to hide CITES protected species.

B. Judgment

The plaintiff acknowledges most of the disputed dispositions, but argues that the investigation value of the disposition agency is too high and therefore unfair. However, the plaintiff not only reported imports based on the invoice amount for the items at issue other than the low-value declaration, and remitted the goods to the exporters at issue based on the amount on the invoice at issue that contains the actual transaction price of the items at issue, but also created and sent an appraisal invoice to the exporters at issue based on the invoice at issue, confirming that the plaintiff created double invoices to declare low prices, and the plaintiff failed to specify the items at issue for which the investigation value is high and failed to submit evidence proving that the actual price of the goods or the disputed disposition tax amount is excessive. In light of these facts, it is determined that the disposition agency's disputed disposition of imposing customs duties, etc. based on the invoice at issue is not wrong.

4. Recommendations for Import and Export Practices

A. Report at the appropriate taxable price

False or incomplete declarations to reduce customs duties and VAT may result in criminal punishment under Article 270 of the Customs Act (Customs Evasion). This could even lead to criminal prosecution for smuggling, as in this case. Therefore, it is appropriate to declare the normal import price.

2) Management of special items such as CITES target organisms

Inadequate import permits or false product descriptions are not simply taxation issues, but are subject to criminal punishment and import restrictions. Therefore, it is necessary to ensure that all requirements are met before importing.

HS case solved by logic

Item Classification Example for Projector Lamps

1. Outline

The classification of imported goods is determined by a comprehensive review of various factors, including the product's material, characteristics, function, and intended use. For parts used in specific devices, it's necessary to determine whether to classify them using the HS Code used for parts of the parent product or a specific HS Code. Today, we'll examine the criteria for classifying parts through the Tax Tribunal's decision on projector lamps.

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2. Item classification examples

1) Issue HS CODE

HS CODE	Heading 8529.90-6010	Heading 9405.49-9000
Applicable tax rate	0% (WTO agreement rate)	8% (basic rate)
Terms of the heading	Parts of monitors or projectors	Other lighting fixtures
Head of Customs confirmation	Not applicable	Electrical Appliances and Consumer Goods Safety Management Act Radio Act

2) Tax Tribunal Decision Case [Tribunal 2024-Gwan0028 (Decision Date: 09-30-2024)]

(1) Claimant's claim

The items at issue are parts used exclusively or primarily in projectors and should be classified under heading 8529. While the tariff schedule does not explicitly define "parts," the electronic guidebook published by the Korea Customs Service provides a dictionary definition of "parts" and a definition based on Korea Customs Service regulations.

In summary, if (i) it is a separable product that forms part of a specific product (finished product), (ii) has different properties from other parts, and (iii) is essential or vital to the specific product, it is a part of the specific product. The item at issue is ① a detachable part of the entire projector, ② a light source that is distinct from other parts of the projector, and ③ an essential and vital role in that the projector cannot project an image without the light source. The item at issue is combined with the lamp chip required for data transmission and reception, regardless of whether it is used as a lighting fixture for a beam projector. If the design is slightly different, it cannot function as a part of the projector, so it should be classified as a part exclusively for the projector. The eligible voltage of the item at issue is approximately 360V, which is a voltage that cannot be supplied in a typical household or commercial environment. In addition, if low voltage is continuously supplied, the lamp unit may be damaged or explode, and it may also cause damage to electronic equipment connected to the lamp, making it difficult to consider it as a lighting fixture.

(2) Disposal Agency opinion

The item at issue is a lamp that is combined inside a projector to supply light, so it is appropriate to classify it as other electric lighting equipment under heading 9405. A light source is an object or device that emits light, and a light or lighting equipment refers to an article used to illuminate using a light source, etc. In light of the fact that the item at issue is a lighting equipment that functions as a light source necessary for projecting images, that its components do not fall under the lamps or lighting equipment of heading 8539, etc., and that it is presented separately from the projector, it is appropriate to classify it under heading 9405.49.

Imported goods are subject to customs duties based on their nature and quantity at the time of import declaration. The items at issue are lamp units presented singly at the time of import declaration, using an ultra-high-pressure mercury lamp as a light source. The essential nature of the items at issue lies in their role as lighting equipment, which generates and illuminates light. Even if the items at issue have characteristics of parts of a beam projector, the commentary on Part 16 of the Tariff Schedule states that items more specifically listed in other parts are excluded from Part 16. Therefore, the item at issue should be classified under heading 9405, which classifies lighting equipment.

The item at issue is a lighting fixture that generates light within a beam projector, a device that projects images using light. Given the functionality of its components, it is difficult to consider it an item that goes beyond the scope of a lighting fixture. The mere attachment of an IC chip, which stores and transmits simple information such as usage time, cannot be considered to affect the essential characteristics of the item at issue as a lighting fixture.

(3) Hearing and Judgment

The item at issue is a lamp that is combined inside a projector to supply light. The term in Tariff No. 9405 is stipulated as "lighting fixtures (including searchlights, spotlights and parts thereof, and limits to not elsewhere specified)", so it seems appropriate to classify it under No. 9405 in accordance with General Rule No. 1. In light of the fact that the essential characteristic of the item at issue is that it is a lighting fixture that generates and illuminates light rather than a part of a projector, and that it is difficult to view the lamp chip, which stores simple information such as the usage time and performs the role of transmitting that information, as affecting the essential characteristic of the item at issue as a lighting fixture, the disposition of the disposing authority in this case, which deemed the item at issue to fall under Tariff No. 9405 and rejected the request for correction, is judged to be not wrong.

(4) HS CODE Decision: Heading 9405.49-9000

3. Opinion on the decision

Since the tariff schedule does not explicitly define "parts," more careful consideration is required when classifying parts of specific goods. When classifying parts of goods falling under Chapters 84 and 85, classification should not be performed simply by the HS code of the part. It is necessary to first determine whether the goods are excluded through exclusion rules or whether more specific items are listed. Applying the rules sequentially according to the General Rules on the Interpretation of the Tariff Schedule, the general principle of tariff classification, is the first step toward accurate classification.

CBAM·PPWR: A New Trade Order Created by the Environment

The EU's Carbon Border Adjustment Mechanism (CBAM) and the Packaging and Packaging Waste Regulation (PPWR) are moving beyond mere environmental policies and are establishing themselves as new standards for imports and exports. In an era where carbon emissions and packaging methods are becoming criteria for customs clearance, we examine CBAM and PPWR, two representative systems that combine trade regulations with environmental issues.

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1. Policy Background and CBAM

The European Union has been pursuing the European Green Deal and Fit for 55 policies, both of which aim for climate neutrality. As part of these efforts, Regulation (EU) 2023/956 (CBAM) and Regulation (EU) 2025/40 (PPWR) have begun to operate as a pillar of a new trade order, while simultaneously promoting environmental protection.

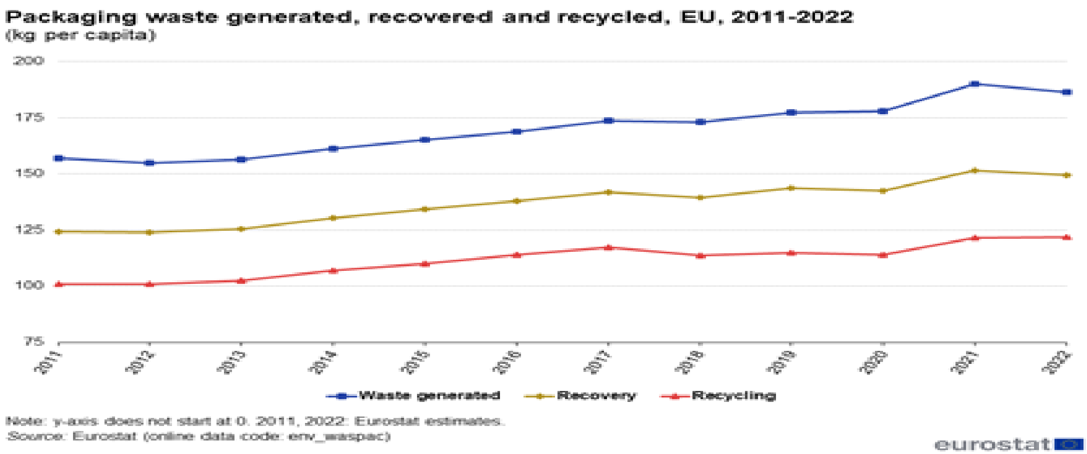
CBAM targets industries such as cement, electricity, fertilizer, steel, aluminum, and hydrogen. The European Union is currently in a transition period starting in October 2023, during which companies are required to report their carbon emissions on a quarterly basis. Full payment will begin in 2026.

The EU's stated goal with this system is to prevent carbon leakage by applying the same carbon costs borne by domestic companies to imported goods. Therefore, Korean companies must establish a carbon emissions calculation and verification system that meets international standards when exporting to the EU and thoroughly manage carbon emissions at each stage of the process.

2. Strengthening PPWR packaging regulations

Packaging regulations, previously limited to recommendations from the EU Parliament, have been upgraded to mandatory regulations through the PPWR. The new regulations, scheduled to fully take effect on August 12, 2026, require all packaging materials to be reusable and easily recyclable.

This change is due to the EU's failure to meet its waste reduction targets, and is expected to have direct and indirect impacts on everything from packaging material selection by export companies to the entire logistics process.



- Eurostat, Packaging waste generated, recovered and recycled, EU, 2011-2022 (kg per capita)
- Per capita packaging waste generation in the European Union is projected to increase from 155 kg in 2011 to 187 kg in 2022, but recycling and recovery rates are not keeping pace.
- Both the amount recovered and recycled increased slightly, but remained stagnant compared to the amount generated.

3. Response task

As previously discussed, companies must consider EU environmental regulations throughout the entire process, from product manufacturing to packaging and logistics.

Establishing a carbon emissions calculation and reporting system that complies with international standards and ensuring the reusability of packaging materials during the design and procurement stages will be essential.

EU environmental regulations are moving beyond declarative measures and becoming legally enforced trade barriers. However, these changes also present new opportunities to demonstrate environmentally friendly competitiveness in the global market. To capitalize on this opportunity, export companies should proactively respond to these changes to enhance corporate credibility and product competitiveness in the global market.

FTA and import/export practical business guide

Information on trade statistics codes and new codes required for export and import declarations

Among the trade statistics codes frequently used by export and import practitioners when reporting, we would like to introduce export and import management codes, import inspection omission codes, and newly changed collaboration-related codes.

1. Export/Import Control Code

This article provides information on transaction classification codes frequently encountered when filing export declarations. It focuses on codes that are often difficult to distinguish.

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management number	Transaction type	Related evidence	note
84	Goods from foreign country that are re-exported after acceptance, inspections (excluding processing) etc. in the country	Foreign Trade Management Regulations, Appendix 2, Item 3, Section 3	
89	Goods that were exported from our country and are brought in for acceptance, inspection, claims, or other reasons, and are then re-exported after being approved, inspected, or maintained in the country (defect repair)	Appendix 3, No. 3, Section 3	Export of conditional imports for re-export

* Some customs offices enforce the 84 transaction code even when the country of origin of goods exported from our country is not domestic, but if there is a clear certificate of export from our country, the 89 transaction code, which is an export for conditional import for re-export, must be used.

We would also like to provide information on transaction codes that are frequently encountered when filing import declarations.

management number	Transaction type	Related evidence	note
84	Import of foreign goods for export after domestic inspection and acceptance (excluding ships and aircraft)	Appendix 4, No. 4, Section 4	Import with re-export condition
88	Import for re-export after acceptance of export goods	Appendix 4, No. 3, Section 4	Import with re-export condition
94	Other import approval exemption products - Import of remaining raw materials exported through consignment processing trade	Appendix 4, No. 3, Section 10	

* Generally, for reasons such as claims of exported goods, re-import duty exemption is applied through code 89, but companies that export and import consignment processing must use code 94 other approval exemption when the remaining amount of input raw materials is re-imported.

2. Reason code for omission of import inspection

In the import practice process, inspections are frequently selected, and sometimes the temptation to skip them arises. However, due to lack of understanding of the relevant grounds or regulations, some may hesitate to confidently request them. Therefore, we present the trade statistics codes below, which allow for their omission.

division	number	detail	note
test omission	01	In case of wishing to cancel the declaration due to a declaration error such as an error in the declaration customs office or collection form	
	02	Article 9 of the Notice on Management of Cargo Subject to Management and Article 2-1-10 of the Notice on Import Customs Clearance Inspection	
	03	In cases where it is determined that there is no benefit to testing among items for which analysis has been omitted	
	04	If the item is designated for inspection, such as acceptance costs, but there are no inspection items	
	05	If the results of the inspection by another agency are consistent with the reported contents	
	06	In cases where it is possible to confirm item classification and customs clearance requirements through document review by the customs clearance post office alone.	
	07	In cases where it is judged that there is no risk of crime as repeat import of raw materials	
	08	If the taxable price is less than USD 2,000 and it is judged that there is no risk of crime.	
	09	In cases where direct import from the country or local government is possible through document review alone	
	10	In cases where the same company repeatedly imports goods and determines that there is no risk of crime	
	11	In case the designation of cargo subject to inspection is lifted in accordance with Article 13, Paragraphs 2 and 3 of the Notice on Management of Cargo Subject to Management	abolition
	12	In cases where prior approval from the head of customs office has been obtained due to unavoidable reasons pursuant to Article 12, Paragraph 2.	
	31	Personal belongings of diplomats stationed in Korea, etc.	abolition
	32	Official supplies of foreign embassies, consulates, etc. in Korea	abolition
	33	Goods subject to SOFA that are free from customs law violations, information, or suspicions	abolition
	34	When the contents of the submitted documents are reasonable	abolition

Contents and Opinion of Customs Trade Amendment

Administrative Notice of the Revision(Draft) to the "Notice on the Evaluation and Operation of the Integrated Compliance Score"

1. Overview

Pursuant to Article 255-7 of the Customs Act, the Commissioner of the Korea Customs Service may measure and assess the degree of compliance with safety management standards for export and import companies. This is known as a compliance assessment, and compliance assessments are utilized in customs administration, including certification of companies with excellent export and import safety management, exemption from collateral provision, and patent examinations. We will provide an overview of the key provisions of the revised "Notice on Integrated Compliance Assessment and Operation."

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2. Reason for revision

(1) Integration of the compliance evaluation system

(2) Disclosure of minimum evaluation criteria and evaluation details for each evaluation target (Articles 4 and 5)

(3) Introduction of a customs cooperation evaluation system (Article 8)

(4) Adjustment of the deadline for providing the results of the compliance assessment (Article 11)

3. Main contents

(1) Integration of the compliance evaluation system

- The integrated compliance score, special delivery company compliance score, and legal performance capability evaluation, which were operated separately according to the characteristics and evaluation purposes of each industry, are collectively referred to as the "legal compliance score" and related notices are integrated.

Before revision	Notice on Evaluation and Operation of Integrated Compliance Score
After revision	Notice on Evaluation and Operation of Compliance with laws and regulations

(2) Disclosure of minimum evaluation criteria and evaluation details for each evaluation target (Articles 4 and 5)

- Establish minimum evaluation criteria for each stakeholder related to import and export and post them in Appendix 1.

- Accept the evaluation items of other similar evaluation systems, specify detailed evaluation items for each evaluation target, and post them in Appendix 2.

Before revision	Article 4 ③ The Commissioner of the Korea Customs Service may not evaluate the company if there is no issuance performance or the performance is insignificant in the export/import performance, refund performance, bonded cargo import/export performance, bonded transportation performance, and Bill of Lading(Master BL or House BL) during the evaluation period to ensure the accuracy of the integrated compliance score by company., among the subjects of evaluation under paragraph 1.
	Article 5 The Commissioner of the Korea Customs Service shall evaluate Integrated Compliance score of the interested parties related to exports and imports pursuant to Article 4 with the following items.
After revision	Article 4 ③ -----(omitted)-----(------ B/L ---- ----- B/L) --- Companies that are judged to have little profit in valuation may not be evaluated. ④ The minimum evaluation criteria for each company according to Article 3 are as per Appendix 1. <New>
	Article 5 ① -----(omitted)----- Evaluate the level of compliance score by company. ② Detailed evaluation items for each evaluation target in each subparagraph of Paragraph 1 are as per Appendix 2. <New>

(3) Introduction of a customs cooperation evaluation system (Article 8)

- Establish a basis for evaluating customs cooperation based on company applications and clearly define the evaluation items.

Before revision	① The Commissioner of the Korea Customs Service shall evaluate Integrated Compliance Score by company, in the 20th of the month following each quarter through management system of Integrated Compliance Score.
After revision	① The Commissioner of the Korea Customs Service shall evaluate the Compliance Score by company, in the 25th of the month following each quarter through management system of Compliance Score.
	② The Commissioner of the Korea Customs Service or the head of a customs office may evaluate customs cooperation by receiving documentation supporting customs cooperation scores from import and export stakeholders through the electronic customs clearance system (Uni-Pass). If submission via the electronic customs clearance system is not possible, the supporting documents may be submitted via email or other means.
	③ Any person who wishes to submit evidence of customs cooperation evaluation scores, etc. corresponding to each of the following items in accordance with Paragraph 2 must submit them to the Commissioner of the Korea Customs Service from the 20th day of the last month of each quarter to the end of the month. 1. Awards 2. Briefing or explanation session 3. Education 4. Competitions hosted by the Korea Customs Service (excluding the AEO Utilization Case Sharing Competition)

(4) Adjustment of the deadline for providing the results of the legal compliance assessment (Article 11)

Before revision	The Commissioner of Customs will submit an Integrated Compliance Score evaluated according to Article 8 by the company by the 20th of the following month of each quarter through the Korea Customs Service's electronic customs clearance system (Uni-Pass). However, evaluation results may not be provided for companies deemed inappropriate for providing them due to limited workload or other reasons.
After revision	The Commissioner of Customs will submit an Integrated Compliance Score evaluated according to Article 8 by the company by the 25th of the following month of each quarter. -------(omitted)-------.

4. Revision comments

According to the revision of the "Notice on the Evaluation and Operation of the Integrated Compliance Score," the Integrated Compliance Score and the Special Delivery Company Compliance Score will be integrated on December 20, 2025, and the Legal Performance Assessment is scheduled to be integrated in 2027. This revision aims to standardize the evaluation system by disclosing the evaluation criteria and formulas along with the integration of the compliance score. Import and export companies are advised to review Appendix 1 through Appendix 3 of the Notice in advance to ensure they can independently improve their compliance levels through the disclosed evaluation criteria.

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